The US tax system

Money the government receives in federal income taxes comes from three main sources: individual income taxes, payroll taxes, and corporate taxes. Other revenue sources include estate tax, excise taxes, and other fees and taxes.

Revenue from US taxes

In 2015, the federal government spent $37 trillion on services for the public. These services included Medicare and Medicaid programs, infrastructure improvements, and social security benefits.

According to the Office of Management and Budget, 47 percent of the 2015 revenue came from individual income tax. Payroll tax was next, at 33 percent, and corporate income tax came in at 11 percent. The remaining revenue, 9 percent, was from excise and other taxes. Other revenue sources are profits on assets that are held by the Federal Reserve, regulatory fees, and custom duties.

Policies used to deal with the Great Recession of 2008 are one reason the share of revenue from individual income taxes and payroll taxes is so high.

Payroll tax

Payroll taxes are paid by corporations and by individuals. They are calculated based on a percentage of an employee's income. Employers collect several types of taxes.

Federal taxes are collected by employers from employees' paychecks. Employees must also pay part of their income for social security taxes and Medicare. For 2016, the social security tax rate was 6.2 percent each for the employer and employee (12.4 percent total). This tax is capped once the employee's wages reach $118,500. The Medicare tax rate is 1.45 percent for both employer and employee (2.9 percent total).

Self-employed individuals must pay a self-employment tax (a Social Security/Medicare tax for the self-employed) as well as income tax. Self-employed individuals must file annual returns, but also pay estimated quarterly taxes.

Excise tax

The US does not impose a Value Added Tax (VAT), but does levy excise tax on some products. Excise taxes are paid when purchases are made.

Revenue from highway-related excise tax made up 38 percent of excise tax revenue in 2014. Revenue from gasoline and diesel taxes make up 90 percent of the Highway Trust Fund revenue.

The second-largest amount of excise revenue comes from tobacco taxes—$15.6 billion in 2014. Tobacco tax is collected by the the US Treasury Department. The tax for other goods is collected by the Internal Revenue Service (IRS). Aviation, alcohol, and health care (the Affordable Care Act, or ACA) also have excise taxes.

Capital gains tax

A capital gain is realized when an asset is sold for more than an individual or a corporation paid for it. This type of profit is common with investments and property. There are two types of captial gains.

Short-term capital gains are from assets held for a year or less, and are taxed at the same rate as income. Long-term capital gains are from assets that were held longer than a year. The tax rate on a net capital gain (the gain minus capital losses) depends on income. The maximum tax rate is usually 20 percent. However, for high-income taxpayers and for certain types of net capital gains, the tax can be up to 28 percent.

State taxes

Some states levy tax on income and impose other taxes, such as sales tax. As of 2016, 43 states collected income tax; seven did not. Forty-one states tax wage and salary income. Two tax dividend and interest income only.